Deutsche Bank
Research

Europe

Consumer Discretionary & Luxury
Luxury Goods

Industry
European Luxury

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Industry Update

2Q previews: Expectations reflecting a tepid luxury market

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DB view

2Q is unlikely to deliver significant sequential cFX growth improvement from 1Q with the Middle East still impacting numbers, lowest tourist flows and no material improvement in China. Investor expectations have largely been lowered by the recent company commentary with only LVMH and Richemont seeing higher expectations into the prints. There has been no strategic shifts across the companies and we still see the industry backdrop improving into 2H.

Investor sentiment remains weak with near-trough multiples. At such levels, sequential improvement led to rotations into the sector, where LVHM has historically outperformed given its status as the preferred recovery story. The key risk is the pre-close season may have left investor expectations elevated for F&L cFX sales growth at c.+2% (vs. DBe +1%). LVMH still remains the preferred way to partake in the recovery. **Most preferred: LVMH / Least preferred: Moncler, Kering**

Jewellery preferred category but investor bar is higher

Richemont has been the sector favorite YTD, thanks to the strong Jewellery Maisons sales growth, which was +16% in 4Q26. Optimism for 1Q27 and lower gold prices have pushed the stock higher. The issue now is that expectations might be too high. The consensus for JM cFX growth is +13% (vs. DBe +12%), but investors likely expect c.+15% or more, which may weigh on share price performance.

Macro drag remains and is key risk given higher expectations

Our April-May China import/macro tracker pointed to an ongoing drag in the region. However, company messaging has been that North America remains strong (but not accelerating), South Korea is strong and tourist flow remains weak into Europe and Middle East remains a LSD% headwind for the sector. We do not expect 1H to see a significant reset of 2026 expectations.

Key focus points for 2Q

1) Extent of China's drag to growth and how much of this can be offset by US and South Korea; 2) State of aspirational customers and discussion on of oil impact on their luxury spend; 3) Update on tourism and Middle East headwind during June-July; 4) the pace of sequential improvement for brands undergoing turnarounds.

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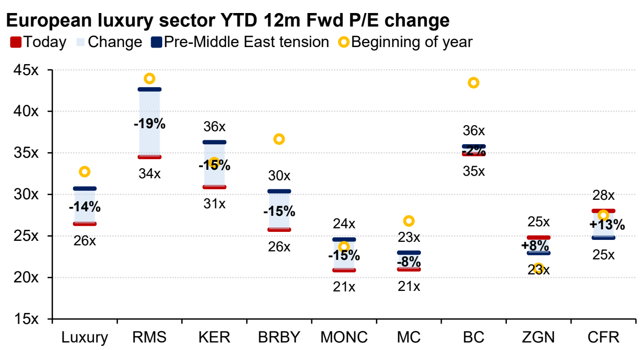
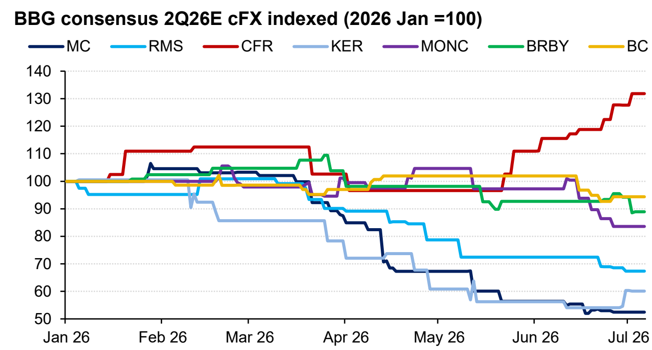
2Q set up in six charts

Figure 1: Sentiment has not recovered back to pre-Middle East levels



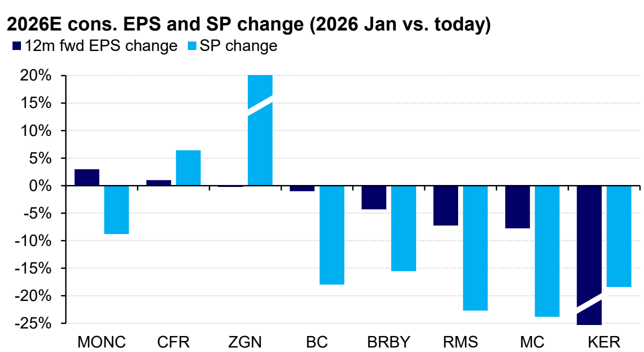
Source : Bloomberg Finance LP, Deutsche Bank Research

Figure 2: Expectations have been diverging across the sector



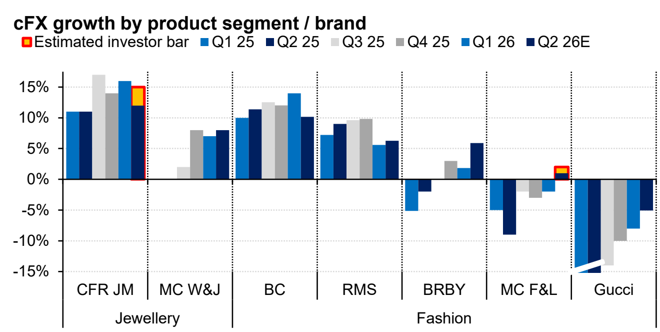
Source : Company Data, Deutsche Bank Research, Bloomberg Finance LP

Figure 3: Jewellery remains the bright spot and preferred luxury exposure



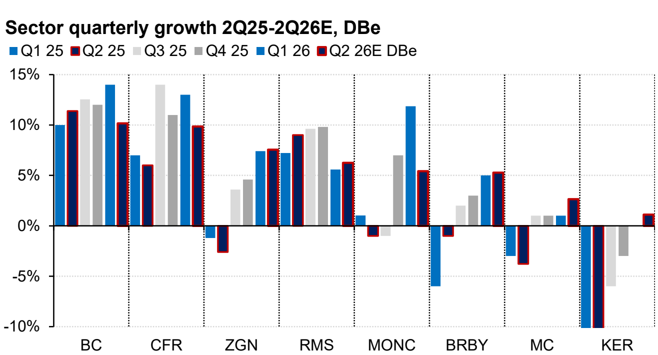
Source : Company Data, Deutsche Bank Research, Bloomberg Finance LP

Figure 4: There is risk of investor bar being raised too high for CFR's JM and MC's F&L



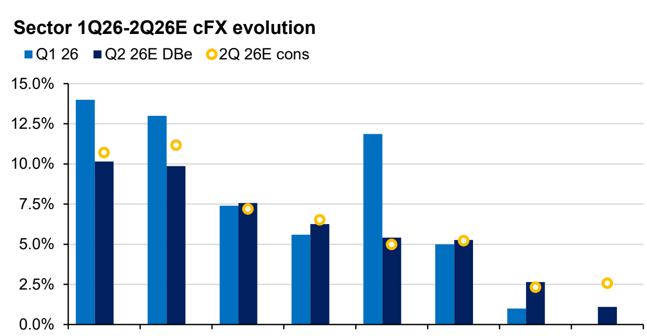
Source : Company Data, Deutsche Bank Research
Note: Investor bar is moving towards +2% for LVMH Fashion and Leather and above +16% for Richemont Jewellery Maisons

Figure 5: At group level, comparatives are easiest for CFR, MC and MONC



Source : Company Data, Deutsche Bank Research, Bloomberg Finance LP

Figure 6: We forecast sequential deceleration with the exception of RMS, BRBY, MC and KER



Source : Company Data, Deutsche Bank Research, Bloomberg Finance LP
Notes: Bloomberg consensus

Recommendation, forecasts and valuation

Summary of recommendations

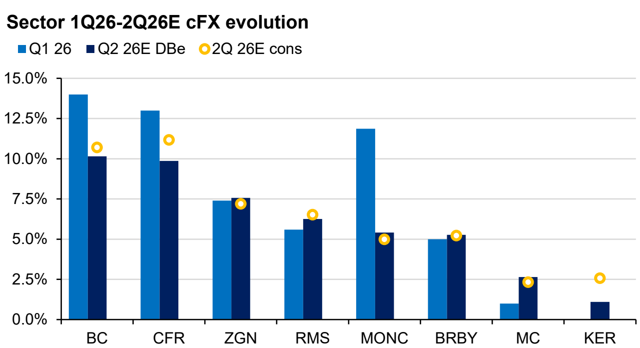
Figure 7: Summary of DB recommendation and annual forecasts

Company	Reporting date	Reporting period	Mcap (EURb)	Rating	SP	TP	%▲ %▼ vs. SP	Sales growth% 2026E	Sales growth% 2027E	EBIT margin (%) 2026E	EBIT margin (%) 2027E	EPS growth (%) 2026E	EPS growth (%) 2027E	PE (x) 2026E	PE (x) 2027E
Richemont	15 Jul	1Q FY2027	117	Buy	184	195	6%	8.6%	8.1%	21.2%	22.7%	21.0%	16.7%	29.3x	25.1x
Burberry	17 Jul	1Q FY2027	5	Buy	1,076	1,480	38%	4.5%	7.3%	8.6%	12.3%	NA	59.2%	30.4x	19.1x
Moncler	22 Jul	1H FY2026	14	Hold	50	58	17%	5.6%	9.1%	29.2%	29.8%	4.7%	13.3%	20.7x	18.3x
Ermenegildo Zegna	23 Jul	2Q FY2026	3	Buy	14	14	3%	4.7%	8.2%	9.2%	10.2%	-4.5%	16.6%	26.6x	22.8x
LVMH	27 Jul	1H FY2026	244	Buy	493	600	22%	-0.6%	5.4%	22.0%	23.0%	1.2%	18.4%	22.3x	18.8x
Kering	28 Jul	1H FY2026	30	Hold	246	280	14%	0.2%	6.5%	12.5%	14.4%	48.4%	39.2%	38.1x	27.3x
Hermes	29 Jul	1H FY2026	173	Buy	1,625	2,320	43%	4.4%	10.7%	40.3%	40.5%	4.1%	18.1%	36.6x	30.9x
Brunello Cucinelli	30 Jul	1H FY2026	5	Buy	81	96	19%	10.0%	10.3%	16.8%	17.4%	14.7%	13.9%	32.1x	28.2x

Source : Company data, Deutsche Bank Research, Bloomberg Finance LP

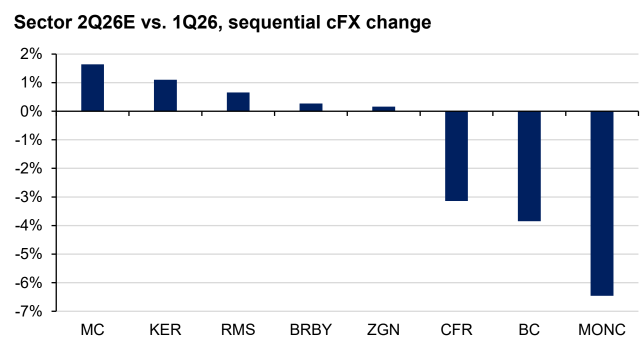
Summary of forecasts

Figure 8: We expect LVMH's and Richemont's cFX to be the key focus points



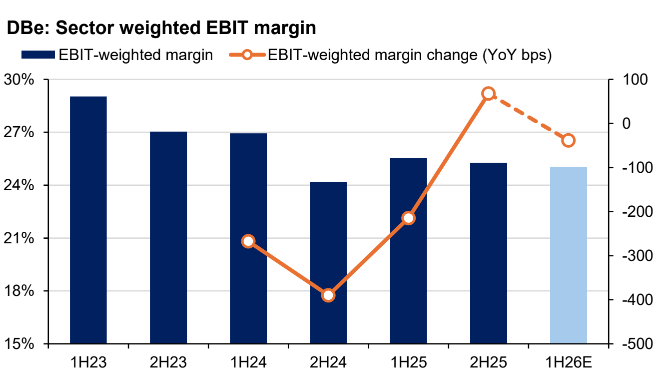
Source : Company data, Deutsche Bank Research. Bloomberg Finance LP

Figure 9: Pace of LVMH's sequential improvement will be key for sector sentiment moving forward



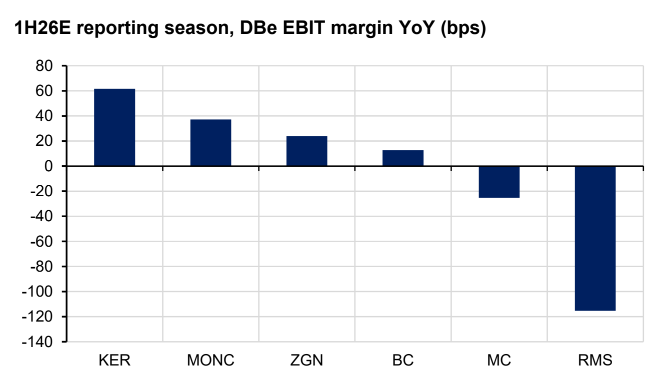
Source : Company data, Deutsche Bank Research

Figure 10: Sector margin is expected to fall c.-20bps



Source : Company data, Deutsche Bank Research

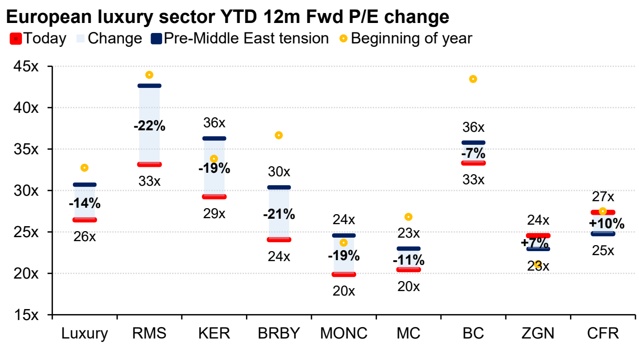
Figure 11: Driven by operational deleverage in key sector names



Source : Company data, Deutsche Bank Research

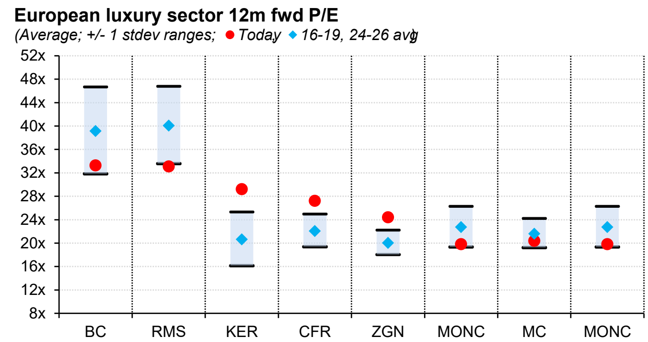
Valuation

Figure 12: Sector broadly trades below pre-Q1 reporting season levels



Source : Bloomberg Finance LP, Deutsche Bank Research

Figure 13: With many trading below historical levels



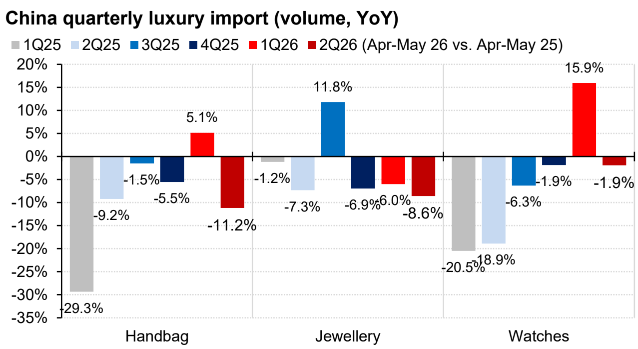
Source : Bloomberg Finance LP, Deutsche Bank Research

Key macro considerations for 2Q

China

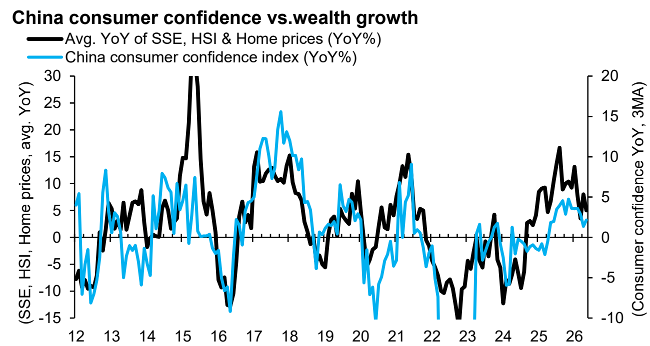
[*DB Luxury 360: China luxury import: Slower April-May vs. months of 1Q*]

Figure 14: 1Q YoY improvement momentum did not carry into 2Q



Source : GACC, NBS, Deutsche Bank Research

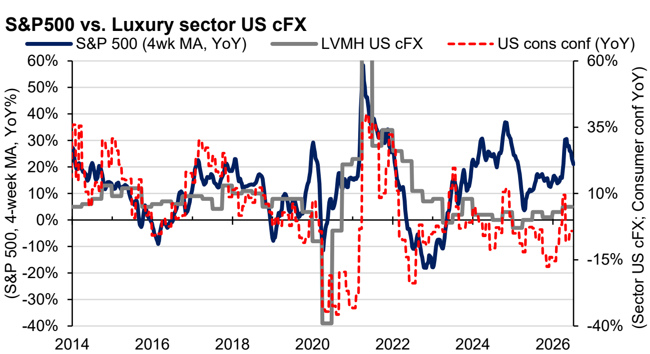
Figure 15: Consumer confidence YoY recovery re-accelerated in May but below 1Q levels



Source : NBS, Bloomberg Finance LP, Deutsche Bank
Note:

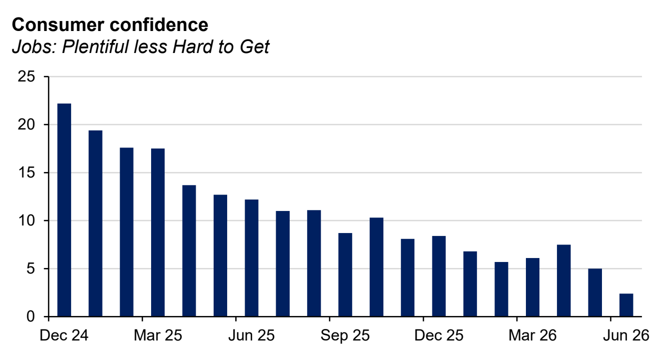
US

Figure 16: US consumer confidence yoy continues to improve sequentially



Source : Bloomberg Finance LP, Conference Board, Company data, Deutsche Bank Research

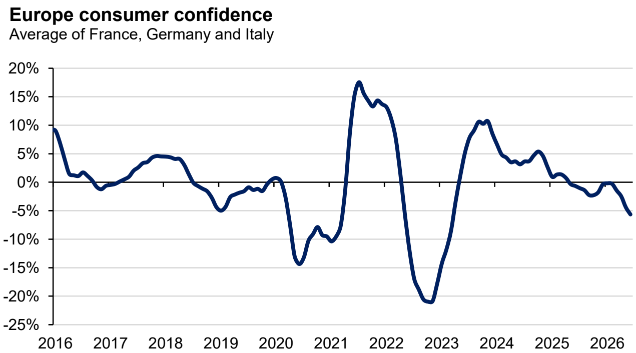
Figure 17: Weaker job market sentiment by consumers remains key headwind



Source : Conference Board

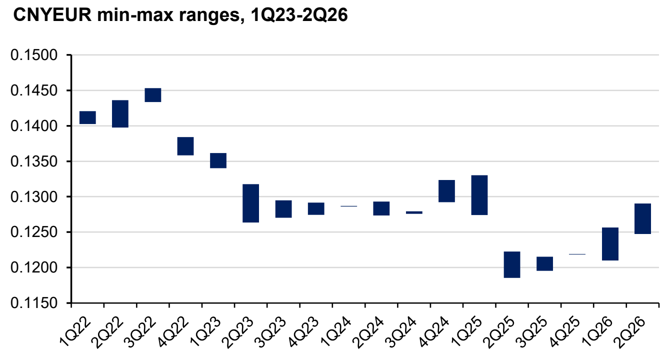
Europe

Figure 18: Consumer confidence declined over the months of Q2



Source : INSEE, Kantar, ISTAT

Figure 19: The EUR depreciated against CNY and USD during Q2



Source : Bloomberg Finance LP

Rating
Buy

Europe
Switzerland

Consumer Discretionary & Luxury
Luxury Goods

Company
Richemont

Reuters	Bloomberg
CFR.S	CFR SW

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Price at 9 Jul 2026 (CHF)	184.00
Price Target (CHF)	195.00
52-week range (CHF)	189.90 - 130.10

Own success sets high expectations, cautious it may cap 2Q gains

DB view

The shares have enjoyed a strong momentum on the back of strong 4Q26, positive 1Q27 outlook and weaker gold price. We continue to see jewellery as the higher quality category and Richemont is the preferred way to gain exposure given the strength of the brands under its Jewellery Maisons. However, with the higher investor bar for the segment, which we estimate to be above +16% cFX, scope for share price outperformance becomes smaller in 2Q. On a positive note the expectations for 2Q and 2H cFX growth have remained at the HSD% level and with gold prices lower there is scope for earnings upgrades. We maintain our Buy rating, but Richemont is now trading on c.25x cal 27E P/E which may limit short term upside.

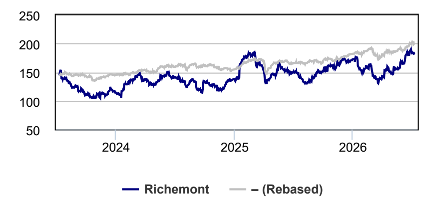
Preview

We forecast 2Q group sales to increase by +9% yoy and +10% cFX to reach €5,898m (Cons +11% cFX to €5,897m). By segment, we look for Jewellery Maison up +12% cFX to €4,347m (Cons up 13% cFX to €4,356m); Specialist watchmakers +4% to €849m (Cons up 4% cFX to €838m) and Other +5% to €749m (Cons +6% cFX to €700m). By region, we forecast Americas +13% (cons +16%), Europe +6% (cons +7%), Asia-Pacific +12% (cons +11%), Japan +20% (cons +22%) and Middle East -6% (cons -6%).

Key debates

1) How much of the sales benefit has come from price and mix compared with volume growth; 2) How much of a driver to Asia-Pacific Jewellery sales has come from Korea and can this sustain DD% growth even if China remains subdued; 3) Breakdown of growth between new client acquisition vs increased spending from existing clients; 4) Tourist flows and spending patterns in Europe in 2Q, and how tourist demand compares with local customer demand; 5) Any signs of catch up spend from Middle Eastern customers.

Price/price relative



Performance (%)	1m	3m	12m
Absolute	9.7	21.9	22.5
SPI Swiss Performance IX	5.9	8.8	19.9

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	17.0
ROA (%)	9.6
Net debt/equity (%)	1.4
Book value/share (EUR)	42.4
Price/book (x)	4.7
Net interest cover (x)	33.1
EBIT margin (%)	21.5

Source: Deutsche Bank

Stock option liquidity data

Shares outstanding (m)	590
Option volume (und. shrs., 1M avg.)	–
Market cap (CHF)(m)	108,173.6
Free float (%)	100

Source: Deutsche Bank

Comparatives

Richemont (CFR.S),CHF184.00			Buy
	2026A	2027E	2028E
DB EPS (EUR)	5.91	7.06	8.18
P/E (x)	27.6	28.2	24.3
EV/EBITA (x)	21.1	21.9	19.0

Source: Deutsche Bank

Figure 20: Summary P&L

Richemont YE March, €m	FY24	FY25	FY26	1Q27E	2Q27E	1H27E	3Q27E	4Q27E	FY27E	FY28E	FY29E
Group Sales	**20,616**	**21,399**	**22,420**	**5,898**	**5,711**	**11,609**	**7,062**	**5,937**	**24,608**	**26,466**	**28,386**
Growth %	3.3%	3.8%	4.8%	9.0%	9.7%	9.3%	10.4%	9.9%	9.8%	7.6%	7.3%
cFX growth %	**8.0%**	**4.0%**	**11.0%**	**9.9%**	**7.9%**	**9.0%**	**8.8%**	**8.7%**	**8.9%**	**7.4%**	**7.3%**
Jewellery Maisons	14,242	15,328	16,539	4,347	4,246	8,593	5,334	4,455	18,382	19,884	21,475
LFL %	12%	8%	14%	12%	9%	11%	10%	10%	10%	8%	8%
Specialist Watchmakers	3,767	3,283	3,149	849	783	1,633	937	764	3,333	3,540	3,717
LFL %	2%	-13%	1%	4%	5%	4%	6%	5%	5%	6%	5%
Other	2,607	2,788	2,732	701	682	1,383	790	719	2,892	3,042	3,194
LFL %	1%	7%	3%	5%	5%	5%	5%	5%	5%	5%	5%
Gross Profit	**14,036**	**14,319**	**14,438**			**7,430**			**15,625**	**16,832**	**18,081**
Gross Margin %	**68.1%**	**66.9%**	**64.4%**			**64.0%**			**63.5%**	**63.6%**	**63.7%**
EBITDA	**6,226**	**6,027**	**6,101**			**3,479**			**7,037**	**7,994**	**9,131**
EBITDA Margin %	**30.2%**	**28.2%**	**27.2%**			**30.0%**			**28.6%**	**30.2%**	**32.2%**
D&A	1,432	1,560	1,609			855			1,738	1,877	2,027
EBIT	**4,794**	**4,467**	**4,492**			**2,624**			**5,300**	**6,117**	**7,104**
EBIT Margin %	**23.3%**	**20.9%**	**20.0%**			**22.6%**			**21.5%**	**23.1%**	**25.0%**
Jewellery Maisons	4,713	4,896	5,037			2,707			5,643	6,363	7,201
Margin %	33.1%	31.9%	30.5%			31.5%			30.7%	32.0%	33.5%
Specialist Watchmakers	572	175	107			98			200	283	447
Margin %	15.2%	5.3%	3.4%			6.0%			6.0%	8.0%	12.0%
Other	-43	-102	-96			14			29	61	64
Margin %	-1.6%	-3.7%	-3.5%			1.0%			1.0%	2.0%	2.0%
Unallocated	-448	-502	-556			-195			-573	-590	-608
Net Interest	-178	-53	-144			-80			-160	-160	-160
Pre-tax profit pre-exceptionals	**4,655**	**4,489**	**4,350**			**2,544**			**5,140**	**5,957**	**6,944**
Exceptional items											
Taxes	-837	-727	-886			-483			-977	-1,132	-1,319
Minorities	7	1	0			0			0	0	0
Net Profit	2,362	2,751	3,484			2,060			4,163	4,825	5,625
Basic EPS pre-exceptionals	4.10	4.69	5.93			3.50			7.08	8.21	9.57
Diluted EPS pre-exceptionals	**6.60**	**6.39**	**5.88**			**3.49**			**7.06**	**8.18**	**9.54**
Diluted EPS growth	**-3%**	**-3%**	**-8%**			**15%**			**20%**	**16%**	**17%**
Dividend per share (€)	2.86	3.12	4.62						~~5.61~~	~~6.50~~	~~7.58~~

Source : Company data, Deutsche Bank Research

Forecasts and ratios

Year End Mar 31	2025A	2026A	2027E	2028E	2029E
Revenue (EURm)	21,399	22,420	24,608	26,466	28,386
EBITDA (EURm)	6,027	6,101	7,037	7,994	9,131
EBITA (EURm)	4,467	4,492	5,300	6,117	7,104
PBT DB (EURm)	4,555	4,468	5,170	5,987	6,974
PBT stated (EURm)	4,489	4,350	5,140	5,957	6,944
DB EPS (EUR)	4.67	5.91	7.06	8.18	9.54
DB EPS growth (%)	-29.1	26.5	19.5	15.9	16.6
P/E (DB EPS) (x)	31.5	27.6	28.2	24.3	20.9
EV/EBITDA (x)	14.1	15.5	16.5	14.5	12.7
EV/EBITA (x)	19.0	21.1	21.9	19.0	16.3
DPS (EUR)	3.12	4.62	5.61	6.50	7.57
Yield (%)	2.1	2.8	2.8	3.3	3.8

Source: Deutsche Bank estimates, company data

Rating
Buy

Europe
United Kingdom

Consumer Discretionary & Luxury
Luxury Goods

Company
Burberry Group

Reuters	Bloomberg
BRBY.L	BRBY LN

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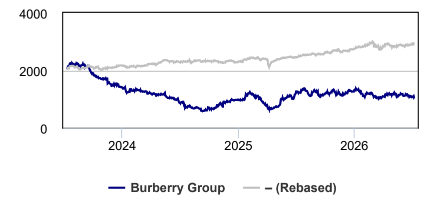
Price at 9 Jul 2026 (GBP)	1,075.50
Price Target (GBP)	1,480.00
52-week range (GBP)	1,371.50 - 1,004.50

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-3.3	-5.1	-10.7
FTSE ALL SHARE INDEX	2.3	-0.6	16.8

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	13.4
ROA (%)	4.4
Net debt/equity (%)	-24.9
Book value/share (GBP)	327.1
Price/book (x)	3.3
Net interest cover (x)	4.6
EBIT margin (%)	9.8

Source: Deutsche Bank

Stock option liquidity data

Shares outstanding (m)	371
Option volume (und. shrs., 1M avg.)	1,347,368
Market cap (GBP)(m)	3,937.3
Free float (%)	100

Source: Deutsche Bank

Comparatives

Burberry Group (BRBY.L),GBP1,075.50			Buy
	2026A	2027E	2028E
DB EPS (GBP)	21.37	40.13	61.85
P/E (x)	52.7	26.8	17.4
EV/EBITA (x)	34.2	14.5	9.5

Source: Deutsche Bank

Turnaround execution discounted by poor sentiment

DB view

Burberry is progressing through its turnaround with clear brand heat improvement translating to stronger LFL growth across key geographies. Elevated expectations into FY26 combined with cautious commentary and a lack of earnings upgrades have weighed on the shares YTD. We expect Burberry to deliver only a limited quarter on quarter LFL improvement in 1Q27 with Middle East and lower tourist traffic dragging on the underlying improvement. Burberry trades on 20x cal 27E P/E.

1Q preview

We forecast Burberry 1Q retail sales to increase by +6% yoy and +6% LFL with an FX impact of +0.7% to £462m (Cons +5.2% LFL to £453m). By region we forecast APAC ex China +6%, Greater China +12%, Americas +10% and EMEIA -4%.

Key debates

1) Thoughts on balance between volume growth and AUR growth as key drivers of sales in FY27; 2) Consumer demand trends in the US and China and whether brand heat continues to accelerate; 3) Performance of RTW and the summer capsule collections; 4) Whether there has been any notable improvement in tourist flows in 1Q so far especially towards the end of the period; 5) Footfall and customer engagement across Japan and Korea, and how is local vs tourist demand evolving;6) Any change to FX impact or FY27 EBIT guidance.

Figure 21: Summary P&L

Burberry Year ending March, GBP m	2023	2024	2025	2026	1Q27E	2Q27E	1H27E	3Q27E	4Q27E	2H27E	2027E	2028E
Group Sales	**3,094**	**2,968**	**2,461**	**2,420**			**1,601**			**2,776**	**2,581**	**2,776**
Growth %	9%	-4%	-17%	-2%							7%	8%
Retail	**2501**	**2400**	**2076**	**2056**	**462**	**452**	**914**	**712**	**578**	**1290**	**2204**	**2381**
Organic sales growth %	6%	1%	-11%	1%	6%	6%	6%	7%	7%	7%	7%	8%
Comp store sales growth %	7%	-1%	-12%	2%	6%	6%	6%	7%	7%	7%	7%	8%
- ow Total Asia Pac	-16%	3%	-16%	3%	10%	7%	8%	8%	8%	8%	8%	
- ow Americas	-4%	-12%	-9%	4%	10%	9%	10%	9%	10%	9%	9%	
- ow EMEA	47%	4%	-8%	0%	-4%	3%	0%	4%	4%	4%	2%	
Wholesale	**543**	**506**	**319**	**303**			**155**				**317**	**333**
Organic sales growth %	1%	-5%	-35%	-4%			5%				5%	0.05
Gross Profit	**2,183**	**2,009**	**1,538**	**1,643**			**756**			**1,027**	**1,783**	**1,945**
Gross Margin %	71%	68%	62%	68%			69%			69%	69%	70%
EBITDA	979	811	483	549			212			351	563	671
EBITDA Margin %	32%	27%	20%	23%			19%			24%	22%	24%
D&A	-344	-393	-457	-389			-150			-156	-306	-307
EBIT	**634**	**418**	**26**	**160**			**59**			**193**	**252**	**364**
EBIT Margin %	20%	14%	1.1%	6.6%			5%			13%	10%	13%
Net Interest	-23	-35	-63	-66			-28			-28	-55	-50
Pre-tax profit pre-exceptionals	**613**	**383**	**-37**	**94**			**32**			**165**	**197**	**314**
Exceptional items	23	0	-29	-45			-3			-3	-5	0
Taxes	-142	-112	-9	-29			-9			-45	-54	-85
Minorities	-2	-1	0	1			0			0	0	0
Net Profit pre-exceptionals	475	270	-53	55			23			121	144	230
Basic EPS pre-exceptionals	123.0	74.0	-14.8	15.4			6.3			33.0	39.3	62.7
Diluted EPS pre-exceptionals	**122.4**	**73.7**	**-14.8**	**15.3**			**6.2**			**32.5**	**38.8**	**61.8**
Dividend per share (€)	61.0	61.0	0.0	0.0			5.0			10.0	15.0	15.8
Weighted Average no. of shares (Basic)	386	365	358	358			366			366	366	366
Weighted Average no. of shares (Diluted)	388	366	358	360			371			371	371	371

Source : Company data, Deutsche Bank Research

Forecasts and ratios

Year End Mar 31	2025A	2026A	2027E	2028E	2029E
Revenue (GBPm)	2,461	2,420	2,581	2,776	2,985
EBITDA (GBPm)	297	414	558	671	792
EBITA (GBPm)	-3	115	252	364	486
PBT DB (GBPm)	-37	94	202	314	436
PBT stated (GBPm)	-66	49	197	314	436
DB EPS (GBP)	-14.79	21.37	40.13	61.85	85.74
DB EPS growth (%)	–	–	87.8	54.1	38.6
P/E (DB EPS) (x)	–	52.7	26.8	17.4	12.5
EV/EBITDA (x)	11.1	9.5	6.5	5.1	4.0
EV/EBITA (x)	–	34.2	14.5	9.5	6.5
DPS (GBP)	0.00	0.00	15.00	15.75	16.54
Yield (%)	0.0	0.0	1.4	1.5	1.5

Source: Deutsche Bank estimates, company data

Rating
Hold

Europe
Italy

Consumer Discretionary & Luxury
Luxury Goods

Company
Moncler

Reuters
MONC.MI

Bloomberg
MONC IM

Adam Cochrane
Research Analyst
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Price at 9 Jul 2026 (EUR)	49.60
Price Target (EUR)	58.00
52-week range (EUR)	58.56 - 45.97

Puffer blues, a seasonal slowdown

DB view

Moncler faces a sequential slowdown from a stronger than expected 1Q into a quarter where it has a less differentiated spring/summer offering. Lower tourism flow from China will impact purchases of the winter collections in Europe in 2Q. These are somewhat technical factors in nature, but reinforces the relative importance of 1Q and 4Q to the group and the relative underperformance seen in the summer periods. We remain Hold on Moncler with the shares trading on 19x 27E P/E.

Preview

We forecast 2Q group sales growth of 2.7% yoy and +5.4% cFX that gets us to €408m (cons +5.6% cFX, €406m). This is driven by Moncler brand up +4.8% cFX (DTC +6%) to €324m (cons +5%) and Stone Island +8% cFX to €84m (cons +8.9%). This gets us to a 1H group sales of €1,288 and EBIT of €241m, 18.7% margin (cons EBIT €242m , 18.5% margin).

Key debates

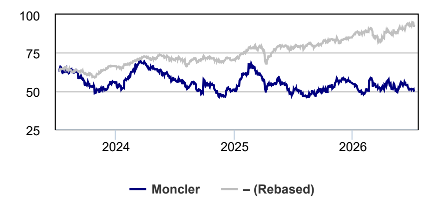
1) Discussions on the performance of SS26 collection during Q2; 2) Views on current state of luxury demand in US and China and tourism into Europe; 2) Any strategies on how to improve the spring/summer range relevance; 3) Update on key Moncler events and New York store opening.

Figure 22: Summary P&L

Moncler €m, Dec yr end	FY 23	FY 24	FY 25	Q1 26	Q2 26E	H1 26E	Q3 26E	Q4 26E	H2 26E	FY 26E	FY 27E	FY 28E
Total Group Sales	**2,984**	**3,109**	**3,132**	**881**	**408**	**1,288**	**642**	**1,378**	**2,020**	**3,308**	**3,610**	**3,941**
Growth %	15%	4%	1%	6%	3%	5%	4%	7%	6%	6%	9%	9%
o/w organic %	17%	7%	3%	12%	5%	10%	6%	8%	7%	8%	9%	9%
Moncler	2,573	2,707	2,721	767	324	1,090	534	1,250	1,784	2,874	3,142	3,436
organic %	19%	8%	3%	12%	5%	10%	5%	8%	7%	8%	9%	9%
Retail cFX (%)	25%	11%	4%	14%	6%	12%	7%	9%	8%	10%	11%	11%
Stone Island	411	402	411	114	84	198	108	128	236	434	468	505
organic %	4%	-1%	4%	11%	8%	10%	8%	5%	6%	8%	8%	8%
Gross Profit	**2,301**	**2,427**	**2,446**			**991**			**1,596**	**2,587**	**2,835**	**3,095**
Gross Margin	**77%**	**78%**	**78%**			**77%**			**79%**	**78%**	**79%**	**79%**
EBITDA	**1,226**	**1,270**	**1,283**			**430**			**927**	**1,357**	**1,508**	**1,655**
EBITDA Margin	**41%**	**41%**	**41%**			**33%**			**46%**	**41%**	**42%**	**42%**
Depreciation	-332	-354	-370			-189			-202	-391	-431	-471
EBIT	**894**	**916**	**913**			**241**			**725**	**966**	**1,077**	**1,184**
EBIT Margin	30.0%	29.5%	29.2%			18.7%			35.9%	29.2%	29.8%	30.0%
Net Interest	-23	-7	-26			-18			-18	-35	-30	-30
Profit before tax	**871**	**910**	**887**			**223**			**707**	**931**	**1,047**	**1,154**
Exceptional items	0	0	0			0			0	0	0	0
Tax	-259	-270	-261			-66			-209	-275	-304	-335
Minorities	0	0	0			0			0	0	0	0
Net Profits	612	640	627			158			499	656	743	819
Basic EPS	2.28	2.38	2.33			0.59			1.86	2.44	2.77	3.05
DB EPS	**2.26**	**2.36**	**2.31**			**0.58**			**1.84**	**2.42**	**2.74**	**3.02**
EPS growth	0%	5%	-2%							5%	13%	10%
Dividend per share	1.15	1.30	1.40							1.47	1.66	1.83
Weighted Average No. of Shares (Fully Diluted)	271	271	271			271			271	271	271	271
Weighted Average No. of Shares (Undiluted)	269	269	269			269			269	269	269	269

Source : Company data, Deutsche Bank Research

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-11.2	-8.4	-3.2
DJ (.STOXXE)	3.1	5.7	16.2

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	16.6
ROA (%)	10.8
Net debt/equity (%)	-10.3
Book value/share (EUR)	15.0
Price/book (x)	3.3
Net interest cover (x)	27.6
EBIT margin (%)	29.2

Source: Deutsche Bank

Stock option liquidity data

Shares outstanding (m)	271
Option volume (und. shrs., 1M avg.)	–
Market cap (EUR)(m)	13,330.0
Free float (%)	60

Source: Deutsche Bank

Comparatives

Moncler (MONC.MI),EUR49.60			Hold
	2025A	2026E	2027E
DB EPS (EUR)	2.31	2.42	2.74
P/E (x)	23.5	20.5	18.1
EV/EBITA (x)	17.3	14.5	12.6

Source: Deutsche Bank

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Revenue (EURm)	3,109	3,132	3,308	3,610	3,941
EBITDA (EURm)	1,270	1,283	1,357	1,508	1,655
EBITA (EURm)	916	913	966	1,077	1,184
PBT DB (EURm)	910	887	918	1,055	1,154
PBT stated (EURm)	910	887	931	1,047	1,154
DB EPS (EUR)	2.36	2.31	2.42	2.74	3.02
DB EPS growth (%)	4.5	-2.0	4.7	13.3	10.2
P/E (DB EPS) (x)	24.1	23.5	20.5	18.1	16.4
EV/EBITDA (x)	12.7	12.3	10.3	9.0	7.9
EV/EBITA (x)	17.6	17.3	14.5	12.6	11.0
DPS (EUR)	0.82	0.24	0.84	0.88	1.00
Yield (%)	1.4	0.4	1.7	1.8	2.0

Source: Deutsche Bank estimates, company data

Rating
Buy

Europe
Italy

Consumer Discretionary & Luxury
Luxury Goods

Company
Ermenegildo Zegna Group

Reuters	Bloomberg
ZGN.N	ZGN US

Adam Cochrane
Research Analyst
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Price at 9 Jul 2026 (USD)	13.57
Price Target (USD)	14.00
52-week range (USD)	14.92 - 7.71

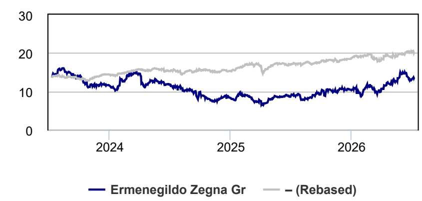
On track to achieve mid-term targets

DB view
Zegna's shares outperformed YTD (+32%) driven by its continuous the acceleration of DTC. The group continues to execute well the brand elevation strategies and DTC rationalisation. We continue to like the group's exposure to higher-end customers and Haider Ackermann's positive impact on Tom Ford fashion. However, the group is not our top pick going into Q2 as the shares have had a good run YTD and we expect DTC growth to cooldown into Q2 as headwinds from the Middle East persist. We maintain our Buy rating, shares trade c.28x 27E P/E.

Preview
We forecast 2Q group sales growth of 5.6% yoy and cFX of +7.6% that gets us to €495m (cons €500m, +7.2% cFX). By channel we forecast DTC +12.5% (cons +13.3%) and wholesale -11.3% (cons -14.3%) This is driven by the Zegna brand up +8.4% cFX (cons+9.4%), Tom Ford +4.9% cFX (cons +2.9%) and Thom Browne +6.7% cFX (cons +3.5%). For 1H this gets us to a group sales of €965m, adj EBIT of €74m at a margin of 7.6%, +24bps yoy (cons €967m, adj EBIT €69m, 7.3% margin).

Key debates
1) Quantification of DTC deceleration due to the Middle East impact during Q2 and how Middle East cluster has performed during June-July; 2) Update on the progress of investments into Tom Ford's infrastructure and brand heat development. 3) Any sign of Thom Browne's brand heat and customer acquisition improvement seen Q1 continuing into Q2. 4) Progress on channel rationalisation and store network expansion/reduction across the three brands.

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-8.2	17.5	51.6
DJ (.STOXXE)	3.1	5.7	16.2

Source: Deutsche Bank

Key indicators (FY1)	
ROE (%)	8.8
ROA (%)	3.2
Net debt/equity (%)	-2.7
Book value/share (EUR)	4.2
Price/book (x)	2.8
Net interest cover (x)	7.4
EBIT margin (%)	9.2

Source: Deutsche Bank

Stock option liquidity data	
Shares outstanding (m)	261
Option volume (und. shrs., 1M avg.)	–
Market cap (USD)(m)	3,522.8
Free float (%)	–

Source: Deutsche Bank

Comparatives

Ermenegildo Zegna Group (ZGN.N),USD13.57			Buy
	2025A	2026E	2027E
DB EPS (EUR)	0.47	0.45	0.52
P/E (x)	16.7	26.6	22.8
EV/EBITA (x)	12.4	16.3	13.3

Source: Deutsche Bank

Figure 23: Summary P&L

Zegna YE Dec, €m	FY21	FY22	FY23	FY24	FY25	1H26E	2H26E	FY 26E	FY 27E	FY28E
Group Sales	**1,292**	**1,493**	**1,905**	**1,947**	**1,917**	**965**	**1,042**	**2,007**	**2,172**	**2,357**
Growth %		95.2%	90.2%	97.3%	93.8%	4.0%	5.3%	4.7%	8.2%	8.5%
cFX growth %	**0.0%**	**0.0%**	**19.3%**	**-1.9%**	**1.1%**	**7.5%**	**6.3%**	**6.9%**	**8.2%**	**8.5%**
Zegna	1,028	1,163	1,291	1,317	1,331	684	723	1,407	1,526	1,657
Thom Browne	264	330	378	315	268	126	145	272	291	318
Tom Ford	0	0	236	315	317	155	173	329	354	382
Gross Profit	**797**	**928**	**1,224**	**1,297**	**1,294**	**652**	**704**	**1,357**	**1,479**	**1,617**
Gross Margin %	**61.6%**	**62.2%**	**64.3%**	**66.6%**	**67.5%**	**67.6%**	**67.6%**	**67.6%**	**68.1%**	**68.6%**
EBITDA	**304**	**330**	**412**	**420**	**423**	**203**	**242**	**445**	**492**	**554**
EBITDA Margin %	**23.5%**	**22.1%**	**21.7%**	**21.6%**	**22.1%**	**21.0%**	**23.3%**	**22.2%**	**22.7%**	**23.5%**
D&A	-155	-172	-192	-236	-260	-129	-132	-261	-271	-281
Adj EBIT	**149**	**158**	**220**	**184**	**163**	**74**	**110**	**184**	**221**	**273**
EBIT Margin %	**11.5%**	**10.6%**	**11.6%**	**9.5%**	**8.5%**	**7.6%**	**10.6%**	**9.2%**	**10.2%**	**11.6%**
Net Interest	-26	-49	-36	-37	0	-12	-13	-25	-26	-27
Pre-tax profit pre-exceptionals	**126**	**111**	**181**	**148**	**164**	**61**	**98**	**160**	**196**	**247**
Exceptional items	-223	-10	-12	-17	-23	-7	-16	-23	-23	-23
Taxes	-31	-36	-33	-40	-31	-13	-22	-35	-52	-67
Minorities	-8	-14	-14	-14	-11	-4	-4	-8	-8	-9
Net Profit	-136	51	122	77	99	37	56	93	112	148
Basic EPS pre-exceptionals	0.33	0.25	0.53	0.37	0.47	0.17	0.28	0.45	0.52	0.66
Diluted EPS pre-exceptionals	**0.25**	**0.25**	**0.52**	**0.37**	**0.47**	**0.17**	**0.28**	**0.45**	**0.52**	**0.65**
Dividend per share (€)	0.00	0.10	0.12	0.12	0.12	0.00	0.18	0.18	0.21	0.26
Weighted Average no. of shares (Basic)	203.5	237.5	247.0	251.5	259.6	259.6	259.6	259.6	259.6	259.6
Weighted Average no. of shares (Diluted)	265.6	240.6	252.4	254.0	261.5	261.5	261.5	261.5	261.5	261.5

Source : Company data, Deutsche Bank Research

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E
Revenue (EURm)	1,947	1,917	2,007	2,172
EBITDA (EURm)	420	423	445	492
EBITA (EURm)	184	163	184	221
PBT DB (EURm)	148	164	160	196
PBT stated (EURm)	131	140	136	173
DB EPS (EUR)	0.37	0.47	0.45	0.52
DB EPS growth (%)	-28.6	25.8	-4.5	16.6
P/E (DB EPS) (x)	27.2	16.7	26.6	22.8
EV/EBITDA (x)	6.4	4.8	6.8	6.0
EV/EBITA (x)	14.5	12.4	16.3	13.3
DPS (EUR)	0.12	0.12	0.18	0.21
Yield (%)	1.2	1.5	1.5	1.8

Source: Deutsche Bank estimates, company data

Rating
Buy

Europe
France

Consumer Discretionary & Luxury
Luxury Goods

Company
LVMH

Reuters	Bloomberg
LVMH.PA	MC FP

Adam Cochrane
Research Analyst
+44-20-754-17812

Price at 9 Jul 2026 (EUR)	492.95
Price Target (EUR)	600.00
52-week range (EUR)	652.10 - 444.95

Still preferred recovery story despite higher investor bar

DB view

LVMH remains the preferred exposure to the Luxury recovery given the historical re-rating and earnings upgrades the stock has enjoyed as growth re-accelerates from trough levels. We forecast sequential recovery and the current near-trough valuation level should support this, the pre-close season may have raised investor bar for F&L to c.+2% cFX sales growth (vs. DBe +1%). We are approaching the trough levels for margin decline given the expected recovery in cFX sales. The Dior recovery should benefit from more products landing in 2H. We retain our Buy and see upside risk with LVMH trading on a below average 19x 27E P/E.

1H preview

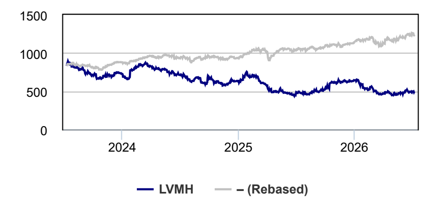
We forecast group sales growth of -1.0% yoy driven by +2.9% cFX resulting in €19,306m (cons €19,384, +2.3%). By segment we forecast, W&S -0.5% cFX (cons -1.9%), F&L +1.0% (cons +1.5%), P&C +2% (cons +2.0%), W&J +8% (cons +5.8%) and SR +4% (cons +3.3%). By region we forecast Asia +6.0%, Europe +3.0%, America +5.0% and Japan -14%.

For H1, this get us to a group revenue of €38,427m, EBIT of €8,602 and a margin of 22.4%, -25bps yoy (cons €8,506m, 21.9%). In terms of key segments our EBIT forecasts are W&S €493m, 19.5% margin, -75bps yoy (€445m, 17.8%); F&L €6,215m, 34.2% margin, -50bps yoy (€6,096m, 33.6%); P&C €404m, 10.2% margin, -20bps yoy (€393m, 10.0%); W&J €804m, 15.5% margin, +50bps yoy (€797m, 15.4%); SR €897m, 10.6% margin, +40bps yoy (€849m, 10.2%).

Key debates

1) Discussion on the state of aspirational customers in China and US for F&L; 2) Any commentary on the Dior versus LV performance and how much Dior has contributed to 2Q F&L performance; 3) Contribution of South Korea and "The Place" to F&L growth; 4) Quantification of impact of broader tourism and Middle East cluster on top-line growth.

Price/price relative



Performance (%)	1m	3m	12m
Absolute	0.1	1.9	1.0
DJ (.STOXXE)	3.1	5.7	16.2

Source: Deutsche Bank

Key indicators (FY1)	
ROE (%)	16.1
ROA (%)	7.6
Net debt/equity (%)	-16.3
Book value/share (EUR)	141.0
Price/book (x)	3.5
Net interest cover (x)	19.6
EBIT margin (%)	22.0

Source: Deutsche Bank

Stock option liquidity data	
Shares outstanding (m)	500
Option volume (und. shrs., 1M avg.)	99,642
Market cap (EUR)(m)	244,477.0
Free float (%)	–

Source: Deutsche Bank

Comparatives

LVMH (LVMH.PA),EUR492.95			Buy
	2025A	2026E	2027E
DB EPS (EUR)	21.84	22.12	26.18
P/E (x)	25.8	22.3	18.8
EV/EBITA (x)	15.5	12.8	11.4

Source: Deutsche Bank

Figure 24: Summary P&L

LVMH YE Dec, €m	FY23	FY 24	Q1 26	Q2 26E	H1 26E	Q3 26E	Q4 26E	FY 26E	FY 27E	FY 28E
Group Sales	**86,153**	**84,683**	**19,121**	**19,306**	**38,427**	**18,664**	**23,200**	**80,292**	**84,597**	**90,719**
Growth %	8.8%	-1.7%	-5.9%	-1.0%	-3.5%	2.1%	2.1%	-0.6%	5.4%	7.2%
cFX growth %	**13.0%**	**1.0%**	**1.0%**	**2.6%**	**1.8%**	**3.5%**	**3.5%**	**2.7%**	**5.8%**	**7.2%**
Wines & Spirits	6,602	5,862	1,273	1,254	2,527	1,330	1,449	5,307	5,550	5,851
LFL %	-4%	-8%	5%	-1%	3%	0%	1%	1%	5%	5%
Fashion & Leather	42,169	41,060	9,247	8,918	18,165	8,733	10,436	37,333	39,504	42,664
LFL %	14%	-1%	-2%	1%	-1%	3%	3%	1%	6%	8%
Perfumes & Cosmetics	8,271	8,418	2,038	1,920	3,958	2,005	2,200	8,163	8,641	9,333
LFL %	11%	4%	0%	2%	1%	2%	3%	2%	6%	8%
Watches & Jewellery	10,902	10,577	2,443	2,745	5,188	2,498	3,253	10,938	11,681	12,499
LFL %	7%	-2%	7%	8%	8%	8%	6%	7%	7%	7%
Selective Retailing	17,885	18,262	4,048	4,446	8,494	4,073	5,833	18,400	19,202	20,354
LFL %	25%	6%	4%	4%	4%	4%	4%	4%	5%	6%
Gross Profit	**59,277**	**56,765**			**25,686**			**53,173**	**56,022**	**60,077**
Gross Margin %	**68.8%**	**67.0%**			**66.8%**			**66.2%**	**66.2%**	**66.2%**
EBITDA	**29,737**	**26,703**			**11,087**			**22,703**	**24,627**	**27,080**
EBITDA Margin %	**34.5%**	**31.5%**			**28.9%**			**28.3%**	**29.1%**	**29.9%**
D&A	7,177	7,796						5,050	5,139	5,266
EBIT	**22,560**	**18,907**			**8,602**			**17,652**	**19,488**	**21,814**
EBIT Margin %	**26.2%**	**22.3%**			**22.4%**			**22.0%**	**23.0%**	**24.0%**
Net Interest	-935	-792			-450			-900	-900	-900
Pre-tax profit pre-exceptionals	**21,625**	**18,115**			**8,152**			**16,752**	**18,588**	**20,914**
Exceptional items	0	0			0			0	0	0
Taxes	-5,673	-5,157			-2,596			-5,361	-5,205	-5,856
Minorities	-778	-408			-209			-339	-357	-383
Net Profit	15,174	12,550			5,307			11,053	13,026	14,675
Basic EPS pre-exceptionals	30.34	25.13			10.69			22.29	26.35	29.77
Diluted EPS pre-exceptionals	**30.33**	**25.12**			**10.66**			**22.12**	**26.18**	**29.61**
EPS growth	8%	-17%						1%	18%	13%
Dividend per share (€)	13.00	13.00			0.00			13.65	15.02	16.52
Weighted Average no. of shares (Basic)	500	499			496			496	494	493
Weighted Average no. of shares (Diluted)	500	500			498			500	498	496

Source : Company data, Deutsche Bank Research

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Revenue (EURm)	84,683	80,807	80,292	84,597	90,719
EBITDA (EURm)	26,703	25,100	22,703	24,627	27,080
EBITA (EURm)	18,907	17,099	17,652	19,488	21,814
PBT DB (EURm)	18,115	16,698	16,752	18,588	20,914
PBT stated (EURm)	18,115	16,698	16,752	18,588	20,914
DB EPS (EUR)	25.12	21.84	22.12	26.18	29.61
DB EPS growth (%)	-17.2	-13.0	1.2	18.4	13.1
P/E (DB EPS) (x)	28.1	25.8	22.3	18.8	16.6
EV/EBITDA (x)	12.6	10.6	9.9	9.0	8.1
EV/EBITA (x)	17.8	15.5	12.8	11.4	10.0
DPS (EUR)	13.00	13.00	13.65	15.02	16.52
Yield (%)	1.8	2.3	2.8	3.0	3.4

Source: Deutsche Bank estimates, company data

13 July 2026
Luxury Goods
European Luxury

Rating
Hold

Europe
France

Consumer Discretionary & Luxury
Luxury Goods

Company
Kering

Reuters	Bloomberg
PRTP.PA	KER FP

Adam Cochrane
Research Analyst
+44-20-754-17812

Price at 9 Jul 2026 (EUR)	245.80
Price Target (EUR)	280.00
52-week range (EUR)	344.95 - 192.20

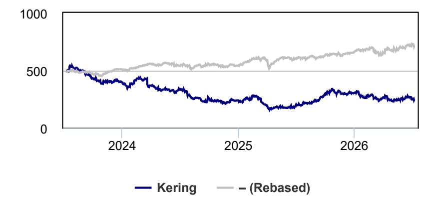
Need to read a few more chapters

DB view
The ambition to to deliver sector outperformance is taking longer than expected for Kering. There is less confidence on the return to Gucci cFX sales growth in 2026 in our view with limited sequential improvement in the US in 2Q and China still seeing material yoy declines given more work is required to rebuild brand heat. The weaker than expected sales recovery has also weighed on margin expectations for 1H with no sequential improvement expected compared to 2H25 despite the ongoing cost saving programme. There is already a significant degree of the potential turnaround factored into the valuation at c.27x 27E P/E and until we see more evidence of the Gucci recovery we remain Hold.

1H Preview
We forecast 2Q sales growth of +0.0% yoy, driven by +1.1% cFX that gets us to €3,627m (cons €3,630, +2.6% cFX). By segment cFX sales growth we forecast 1) F&L -0.8% (cons +0.2%) driven by Gucci -5% (cons -3%) and Other +3.3%; 2) Jewellery +14.4% (cons +25%) ; 3) Eyewear +7% (+6.5%). This gets us to 1H revenue of €7,195m, EBIT of €934m at a margin of 13.0%, c.60bps yoy (cons €7,191, EBIT of 903m, 12.5% margin).

Key debates
1) Update on turnaround progress of F&L in China, Gucci in particular; 2) Progress of store closures and discussion of any dilutive impact on revenues; 3) Any changes to expected drag on group cFX from the Middle East; 3) Sensitivities of jewelry division margin to lower gold price; 4) Any changes to EBIT margin progression outlook for FY and ambition for Gucci to deliver positive cFX sales growth for 2026.

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-3.7	-10.4	23.0
DJ (.STOXXE)	3.1	5.7	16.2

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	5.3
ROA (%)	1.9
Net debt/equity (%)	19.2
Book value/share (EUR)	122.4
Price/book (x)	2.0
Net interest cover (x)	3.1
EBIT margin (%)	12.5

Source: Deutsche Bank

Stock option liquidity data

Shares outstanding (m)	123
Option volume (und. shrs., 1M avg.)	25,222
Market cap (EUR)(m)	30,136.3
Free float (%)	–

Source: Deutsche Bank

Comparatives

Kering (PRTP.PA),EUR245.80			Hold
	2025A	2026E	2027E
DB EPS (EUR)	4.36	6.47	9.00
P/E (x)	54.6	38.0	27.3
EV/EBITA (x)	23.4	18.4	14.7

Source: Deutsche Bank

Figure 25: Summary P&L

Kering YE Dec, Eur mn	FY 23	FY 24	FY 25	1Q26	2Q26E	1H26E	3Q26E	4Q26E	FY 26E	FY 27E	FY 28E
Group Sales	**19,566**	**16,874**	**14,675**	**3,568**	**3,627**	**7,195**	**3,437**	**4,066**	**14,698**	**15,659**	**16,760**
Growth %	-4%	-14%	-13%	-6%	0%	-3%	3%	4%	0%	7%	7%
cFX Growth %			**-10.0%**	**0.0%**	**1.1%**	**0.5%**	**3.3%**	**4.6%**	**2.2%**	**6.3%**	**7.1%**
Fashion & Leather Goods			12,209	2,852	2,945	5,797	2,841	3,452	12,091	12,809	13,699
cFX %			-13.0%	-3.0%	-0.8%	-1.9%	2.1%	3.7%	0.5%	5.9%	7.0%
o/w Gucci			5,992	1,347	1,374	2,721	1,339	1,665	5,726	6,103	6,591
cFX%			-19.0%	-8.0%	-5.1%	-6.6%	-0.6%	2.4%	-2.8%	6.5%	8.0%
o/w Other			6,217	1,505	1,571	3,076	1,502	1,787	6,365	6,706	7,108
cFX%			-6.3%	2.0%	3.3%	2.7%	4.6%	5.0%	3.7%	5.3%	6.0%
Jewelry			935	269	248	517	242	299	1,059	1,171	1,264
cFX% b			8.0%	22.0%	14.4%	18.3%	13.2%	12.3%	15.4%	10.5%	8.0%
Eyewear			1,592	489	476	965	377	341	1,683	1,784	1,909
Gross Profit	**14,927**	**12,394**	**10,660**			**5,252**			**10,803**	**11,587**	**12,487**
Gross Margin %	**76%**	**73%**	**73%**			**73%**			**74%**	**74%**	**75%**
EBITDA	**6,569**	**4,546**	**3,675**			**1,913**			**3,843**	**4,406**	**5,063**
EBITDA Margin %	**34%**	**27%**	**25%**			**27%**			**26%**	**28%**	**30%**
D&A	-1,823	-2,106	-2,044			-979			-1,999	-2,145	-2,279
EBIT	**4,746**	**2,440**	**1,631**			**934**			**1,844**	**2,261**	**2,783**
EBIT Margin %	**24%**	**14%**	**11%**			**13%**			**13%**	**14%**	**17%**
Fashion & Leather Goods			1624			811			1778	2166	2657
Margin %			13.3%			14.0%			14.7%	16.9%	19.4%
ow Gucci			966			451			1009	1289	1656
Margin %			16.1%			16.6%			17.6%	21.1%	25.1%
o/w Other			658			360			769	877	1001
Margin %			10.6%			11.7%			12.1%	13.1%	14.1%
Jewelry			31			22			44	58	72
Margin %			3.3%			4.3%			4.1%	4.9%	5.7%
Eyewear			252			200			275	305	340
Margin %			15.8%			20.7%			16.3%	17.1%	17.8%
Net Interest	-410	-614	-594			-244			-595	-580	-560
Pre-tax Profits, pre-exceptionals	**4,336**	**1,826**	**1,037**			**691**			**1,249**	**1,681**	**2,223**
Exceptional Items	-103	-242	-584			0			0	0	0
Taxes	-1,163	-455	-354			-228			-412	-521	-622
Associates	4	-10	-60			1			3	3	3
Minorities	-91	-94	-68			-32			-46	-58	-80
Reported Net Profits	2,983	1,025	-29			432			794	1,105	1,524
EPS Euro (Basic)	25.02	9.84	4.36			3.52			6.47	9.01	12.43
EPS Euro (Diluted)	**25.01**	**9.83**	**4.36**			**3.52**			**6.47**	**9.00**	**12.42**
EPS growth	-17.7%	-0.61	-0.56			0.07			0.48	0.39	0.38
Dividend Per Share Euro	14.00	6.00	4.00			0.81			3.24	4.51	6.21
Weighted Average No. of Shares (Fully Diluted)	122	123	123			123			123	123	123
Weighted Average No. of Shares (Undiluted)	122	123	123			123			123	123	123

Source : Company data, Deutsche Bank Research

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Revenue (EURm)	16,874	14,675	14,698	15,659	16,760
EBITDA (EURm)	4,546	3,675	3,843	4,406	5,063
EBITA (EURm)	2,440	1,631	1,844	2,261	2,783
PBT DB (EURm)	1,584	453	1,249	1,681	2,223
PBT stated (EURm)	1,584	453	1,249	1,681	2,223
DB EPS (EUR)	9.83	4.36	6.47	9.00	12.42
DB EPS growth (%)	-60.7	-55.7	48.4	39.2	37.9
P/E (DB EPS) (x)	31.2	54.6	38.0	27.3	19.8
EV/EBITDA (x)	10.9	10.4	8.8	7.5	6.3
EV/EBITA (x)	20.2	23.4	18.4	14.7	11.5
DPS (EUR)	6.00	4.00	3.24	4.51	6.21
Yield (%)	2.0	1.7	1.3	1.8	2.5

Source: Deutsche Bank estimates, company data

Rating
Buy

Europe
France

Consumer Discretionary & Luxury
Luxury Goods

Company
Hermes

Reuters HRMS.PA
Bloomberg RMS FP

Adam Cochrane
Research Analyst
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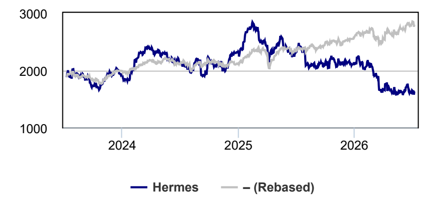
Price at 9 Jul 2026 (EUR)	1,624.50
Price Target (EUR)	2,320.00
52-week range (EUR)	2,474.00 - 1,564.00

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-2.5	-7.3	-33.3
DJ (.STOXXE)	3.1	5.7	16.2

Source: Deutsche Bank

Key indicators (FY1)	
ROE (%)	23.8
ROA (%)	18.6
Net debt/equity (%)	-69.2
Book value/share (EUR)	200.2
Price/book (x)	8.1
Net interest cover (x)	–
EBIT margin (%)	40.1

Source: Deutsche Bank

Stock option liquidity data	
Shares outstanding (m)	105
Option volume (und. shrs., 1M avg.)	0
Market cap (EUR)(m)	170,605.3
Free float (%)	–

Source: Deutsche Bank

Comparatives

Hermes (HRMS.PA),EUR1,624.50			Buy
	2025A	2026E	2027E
DB EPS (EUR)	43.08	44.83	52.97
P/E (x)	53.7	36.2	30.7
EV/EBITA (x)	35.0	23.1	20.3

Source: Deutsche Bank

Strategic scarcity vs. structurally slower growth, need more evidence

DB view

Hermes has seen consensus estimates falling driven by weaker cFX sales growth in 1Q that has continued into 2Q as well as less operational leverage. We see 2H cFX sales as likely to recover from the c.6% in 1H back towards HSD%. The valuation has compressed as investors challenge the sustainable growth algorithm and the degree of exposure the Hermes brand has to tourists and aspirational luxury consumers. We do not see the brand as being damaged or over-exposed and any recovery back towards a DD% cFX sales growth will be rewarded with a multiple expansion from the current c.31x 27E P/E. We maintain our Buy recommendation and see any weakness from the 1H print as a buying opportunity.

1H preview

We forecast 2Q sales growth of 4.3% driven by +6.3% cFX, which leads us to €4,072m for the quarter (consensus €4,069m, +6.5% cFX). Regionally our cFX forecasts are France +4.0% (cons +4.7%), Rest of Europe +8.0% (+9.7%), Japan +11% (cons +10.5%), Rost of Asia +2.0% (cons +3.8%), Americas +14% (cons +14.2%). By major segments our cFX forecasts are Leather Goods +10.5% (cons 10.7%), RTW & Accessories +3% (cons +3.5%) and Silk & Textiles +7.0% (cons +7.5%). This gets us to a 1H group revenue of €8,141, EBIT of €3,278 and a margin of 40.3% a -115bps decline yoy (cons €8,158m, EBIT €3,275, margin of 40.4%).

Key debates

1) The impact of aspirational, tourist and Middle East demand on group sales; 2) Current assessment of the dilutive impact of secondary markets; 3) Degree of stability seen in higher-segment customers and desirability of iconic product lines; 4) How much of the Leather Goods demand has been moderated to ensure supply for new store openings and events later in the year.

Figure 26: Summary P&L

Hermes Dec yr end, Eur m	2023	2024	2025	1Q 26	2Q 26E	1H 26E	3Q 26E	4Q 26E	2026E	2027E	2028E
Group Sales	**13,428**	**15,170**	**16,002**	**4,069**	**4,072**	**8,141**	**4,158**	**4,410**	**16,710**	**18,501**	**20,527**
cFX Growth %	**21%**	**15%**	**9%**	**6%**	**6%**	**6%**	**7%**	**8%**	**7%**	**11%**	**11%**
France	1,275	1,446	1,575	347	398	745	419	458	1,622	1,785	1,963
cFX %	20%	13%	9%	-3%	4%	1%	4%	6%	3%	10%	10%
Rest of Europe	1,818	2,147	2,362	538	632	1,170	700	711	2,581	2,890	3,237
cFX %	20%	19%	11%	10%	8%	9%	10%	10%	9%	12%	12%
Japan	1,260	1,437	1,591	404	385	789	398	416	1,603	1,719	1,857
cFX %	26%	23%	14%	10%	11%	10%	11%	12%	11%	8%	8%
Rest of Asia	6,273	6,648	6,702	1,881	1,647	3,528	1,679	1,614	6,821	7,632	8,548
cFX %	19%	7%	5%	2%	2%	2%	4%	4%	3%	12%	12%
Americas	2,502	2,865	3,075	739	846	1,585	800	1,012	3,396	3,719	4,091
cFX %	21%	16%	12%	17%	14%	16%	13%	13%	14%	10%	10%
Other	300	627	698	160	165	325	162	200	687	755	831
cFX %	44%	110%	15%	-6%	0%	-3%	5%	10%	2%	10%	10%
Leather goods	5,547	6,457	7,070	1,849	1,916	3,765	1,857	1,958	7,579	8,548	9,659
cFX %	17%	18%	13%	9%	11%	10%	10%	10%	10%	13%	13%
Other	7,881	8,713	8,932	2,220	2,157	4,377	2,301	2,453	9,131	9,953	10,868
Gross Profit	**9,708**	**10,659**	**11,379**			**5,715**			**11,806**	**13,072**	**14,451**
Gross Margin %	**72%**	**70%**	**71%**			**70%**			**71%**	**71%**	**70%**
EBITDA	**6,539**	**7,092**	**7,675**			**3,838**			**7,921**	**8,780**	**9,721**
EBITDA Margin %	**49%**	**47%**	**48%**			**47%**			**47%**	**47%**	**47%**
D&A	-889	-942	-1106			-561			-1194	-1290	-1355
EBIT	**5,650**	**6,150**	**6,569**			**3,278**			**6,727**	**7,490**	**8,366**
EBIT Margin %	**42%**	**41%**	**41%**			**40%**			**40%**	**40%**	**41%**
Net Interest	190	283	207			100			200	200	200
Pre-tax Profits, pre-exceptionals	**5,840**	**6,433**	**6,776**			**3,378**			**6,927**	**7,690**	**8,566**
Exceptional Items	0	0	0			0			0	0	0
Taxes	(1,623)	(1,845)	(2,263)			(1,182)			(2,282)	(2,192)	(2,441)
Minorities	(12)	(28)	(36)			(8)			(16)	(16)	(16)
Net Profit	2,740	1,880	2,637			2,227			2,825	3,338	3,713
Basic EPS pre-exceptionals	41.19	43.94	43.15			21.25			44.83	52.97	58.93
Diluted EPS pre-exceptionals	**41.11**	**43.88**	**43.08**			**21.21**			**44.83**	**52.97**	**58.93**
EPS growth	28%	7%	-2%			-1%			4%	18%	11%
Dividend Per Share €	15.00	26.00	18.00						17.93	21.19	23.57
Weighted Average no. of shares (Diluted)	105	105	105			105			105	105	105
Weighted Average no. of shares (Basic)	105	105	105			105			105	105	105

Source : Company data, Deutsche Bank Research

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Revenue (EURm)	15,170	16,002	16,710	18,501	20,527
EBITDA (EURm)	7,092	7,675	7,921	8,780	9,721
EBITA (EURm)	6,150	6,569	6,727	7,490	8,366
PBT DB (EURm)	6,403	6,746	6,897	7,660	8,536
PBT stated (EURm)	6,403	6,746	6,897	7,660	8,536
DB EPS (EUR)	43.88	43.08	44.83	52.97	58.93
DB EPS growth (%)	6.7	-1.8	4.1	18.1	11.3
P/E (DB EPS) (x)	48.8	53.7	36.2	30.7	27.6
EV/EBITDA (x)	29.9	30.0	19.6	17.3	15.3
EV/EBITA (x)	34.5	35.0	23.1	20.3	17.8
DPS (EUR)	26.00	18.00	17.93	21.19	23.57
Yield (%)	1.2	0.8	1.1	1.3	1.5

Source: Deutsche Bank estimates, company data

Rating
Buy

Europe
Italy

Consumer Discretionary & Luxury
Luxury Goods

Company
Brunello Cucinelli

Reuters: BCU.MI
Bloomberg: BC IM

Do-Hyun Yoo
Research Associate
+44-20-754-19487

Price at 9 Jul 2026 (EUR)	80.70
Price Target (EUR)	96.00
52-week range (EUR)	109.20 - 70.34

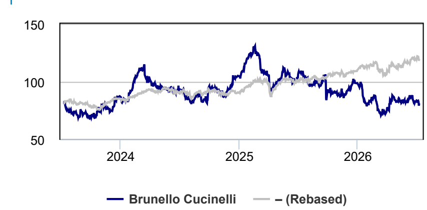
Resilient growth underappreciated in the macro rough

DB view
Our investment case on Brunello Cucinelli rests on recovering the valuation lost to the macro-based de-rating events. These events have unfairly punished the brand's business resilient growth algorithm that is less cyclical than the valuation would suggest. This resilience stems from its core high-end luxury customers and a high quality contemporary ready-to-wear offering. Though the constant cFX sales growth is expected decelerating to c.+10% in Q2, we see consistent delivery on the growth algorithm as enough for shares to re-rate. Buy, shares trades on 30x 27E P/E.

Preview
We forecast 2Q sales growth of +9.2% yoy, driven by +10.2% cFX, which gets us to a 1Q revenue of €374m (cons €375m, +10.7%). Regionally we forecast Europe +5.6% cFX, Americas +15.6% cFX and Asia +9.3% cFX. This get us to a 2H total revenue of €743m, EBIT of €125m at a margin of 16.8% (cons €126m, 16.9% margin).

Key debates
1) Views on geographic momentum, demand for high-end RTW in North America and Asia; 2) Estimated impact of Middle East to Asia constant currency growth in 2Q and July; 3) Any visibility in benefits of wealth effect from South Korea and Japan; 4) Margin evolution following the early completion of capacity expansion

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-7.4	1.3	-24.7
DJ (.STOXXE)	3.1	5.7	16.2

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	26.6
ROA (%)	7.5
Net debt/equity (%)	25.8
Book value/share (EUR)	9.2
Price/book (x)	8.8
Net interest cover (x)	8.2
EBIT margin (%)	16.8

Source: Deutsche Bank

Stock option liquidity data

Shares outstanding (m)	68
Option volume (und. shrs., 1M avg.)	–
Market cap (EUR)(m)	5,486.3
Free float (%)	50

Source: Deutsche Bank

Comparatives

Brunello Cucinelli (BCU.MI),EUR80.70 Buy

	2025A	2026E	2027E
DB EPS (EUR)	2.20	2.52	2.87
P/E (x)	46.6	32.0	28.1
EV/EBITA (x)	31.5	21.8	19.0

Source: Deutsche Bank

Figure 27: Summary P&L

Dec YE, EURm	FY 24	FY 25	1Q 26	2Q 26E	1H 26E	3Q 26E	4Q 26E	2H 26E	FY 26E	FY 27E	FY 28E
Group sales	**1,279**	**1,408**	**369**	**374**	**743**	**371**	**435**	**805**	**1,549**	**1,709**	**1,881**
YoY%	*12.2%*	*10.1%*	*8.1%*	*9.2%*	*8.7%*	*10.7%*	*11.8%*	*11.3%*	*10.0%*	*10.3%*	*10.1%*
cFX%	*12.4%*	*11.5%*	*14.0%*	*10.2%*	*12.1%*	*10.0%*	*11.2%*	*10.6%*	*11.3%*	*10.3%*	*10.1%*
Europe	457	495	125	130	255	135	132	267	522	551	584
YoY%	*6.6%*	*8.4%*	*4.2%*	*5.6%*	*4.9%*	*6.6%*	*5.6%*	*6.1%*	*5.5%*	*5.5%*	*6.0%*
Americas	477	520	138	136	273	138	178	316	589	666	746
YoY%	*17.8%*	*9.2%*	*9.4%*	*13.7%*	*11.5%*	*14.1%*	*15.3%*	*14.8%*	*13.2%*	*13.0%*	*12.0%*
Asia	345	393	107	108	215	98	124	222	437	492	551
YoY%	*12.6%*	*13.7%*	*11.3%*	*8.4%*	*9.8%*	*11.8%*	*13.9%*	*13.0%*	*11.4%*	*12.5%*	*12.0%*
DBe gross profit	**953**	**1,058**			**554**			**611**	**1,165**	**1,288**	**1,422**
Margin %	*74.5%*	*75.2%*			*74.5%*			*75.8%*	*75.2%*	*75.4%*	*75.6%*
DBe SG&A	**741**	**831**			**429**			**475**	**904**	**992**	**1,087**
o/w payroll costs	233	255			135			146	280	308	338
% of sales	*18.3%*	*18.1%*			*18.1%*			*18.1%*	*18.1%*	*18.0%*	*18.0%*
EBIT	**212**	**228**			**125**			**136**	**261**	**297**	**335**
YoY	12.9%	7.6%			9.5%			19.3%	14.4%	13.8%	12.9%
Margin %	16.6%	16.2%			16.8%			16.9%	16.8%	17.4%	17.8%
Margin change bps		-38			13				65	53	45
PBT	**180**	**199**			**118**			**111**	**229**	**262**	**296**
Margin %	14.1%	14.1%			15.8%			13.8%	14.8%	15.3%	15.8%
Net profit	**119**	**135**			**80**			**75**	**156**	**178**	**201**
Margin %	9.3%	9.6%			10.8%			9.3%	10.0%	10.4%	10.7%

Source : Company data, Deutsche Bank Research

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Revenue (EURm)	1,279	1,408	1,549	1,709	1,881
EBITDA (EURm)	365	408	460	517	577
EBITA (EURm)	212	228	261	297	335
PBT DB (EURm)	198	219	251	286	323
PBT stated (EURm)	180	199	229	262	296
DB EPS (EUR)	1.94	2.20	2.52	2.87	3.25
DB EPS growth (%)	3.0	13.1	14.7	13.9	13.0
P/E (DB EPS) (x)	47.8	46.6	32.0	28.1	24.9
EV/EBITDA (x)	17.6	17.5	12.3	10.9	9.7
EV/EBITA (x)	30.4	31.5	21.8	19.0	16.8
DPS (EUR)	0.94	1.04	1.14	1.31	1.48
Yield (%)	1.0	1.0	1.4	1.6	1.8

Source: Deutsche Bank estimates, company data

Appendix 1

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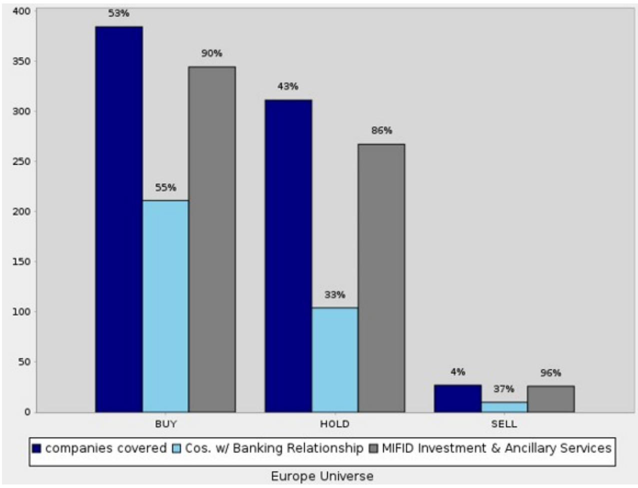
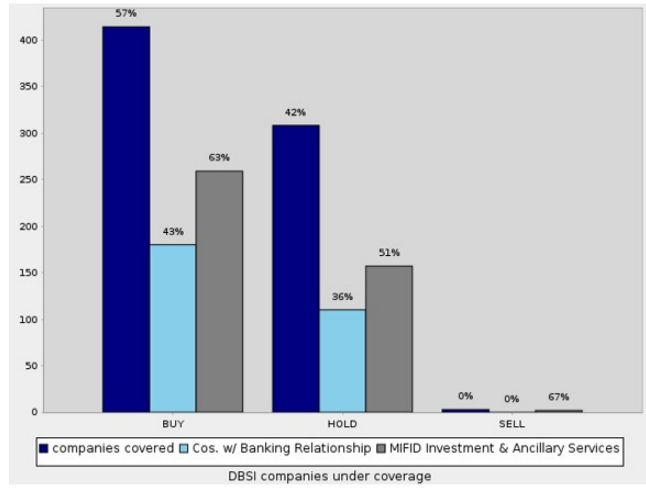
Equity rating dispersion and banking relationships





Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

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Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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